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By Mohamad Ali Iqbal

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Islamic Finance News (IFN) Asia Forum 2026, Kuala Lumpur, 29 September 2026.

First and foremost, I would like to express my sincerest appreciation to the organiser for once again inviting me to the IFN Asia Forum 2026 (Islamic Finance News Asia Forum 2026). It is truly a pleasure to be among so many industry leaders, practitioners, policymakers and investors who continue to advance Islamic finance both across our region and globally.

Ladies and Gentlemen,

The global Islamic finance industry has undergone a remarkable transformation over the past decades, expanding to an estimated USD6.2 trillion in assets this year and supported by more than 2,200 Islamic financial institutions worldwide. With industry assets growing by approximately 13% last year alone, total industry assets could reach nearly USD9.6 trillion by the end of the decade[1].

We are also witnessing Islamic finance gain traction in emerging and frontier markets. Countries such as Russia, Ghana and Nigeria continue to explore and develop Islamic financing solutions, recognising its potential to enhance financial inclusion, diversify funding sources and support infrastructure development. The demand for Islamic finance is evident. The more important question today is no longer whether Islamic finance can continue to grow, but rather how it can help shape the future economy, address global challenges and create sustainable value for society.

ASEAN and Malaysia

Closer to home, ASEAN is the world's fifth-largest economy, with a GDP of USD4.3 trillion, and has maintained robust growth of 4.9%, underscoring the region's resilience and long-term potential. ASEAN's international trade has reached USD4.4 trillion, while foreign direct investment inflows rose to USD245.7 billion[2]. These figures reflect not only the region's economic strength but also the confidence that global investors and businesses place in ASEAN's future. As regional integration deepens and new growth drivers emerge, particularly

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Ladies and gentlemen,

Against this backdrop, Malaysia continues to strengthen and modernise its Islamic finance ecosystem. Our journey has always been guided by a commitment to innovation while remaining firmly anchored to Shariah principles.

Last July, Malaysia's USD1.5 billion Global Sukuk attracted more than USD9.5 billion in investor orders, representing an oversubscription rate of 4.7 times. Structured under the Manafae concept[3], in accordance to the Accounting and Auditing Organization for Islamic Financial Institutions (AAOIFI) guidelines, the successful issuance reflects strong investor confidence in Malaysia's economy and further reinforces the country's leadership in the global sukuk market. Strong demand and record-tight pricing underscore investors' continued confidence in Malaysia's financial system and international offerings.

Malaysia is concurrently advancing the adoption of MYOR-i, the world's first transaction-based Islamic benchmark rate. From 1 January to 14 September 2026, overnight Islamic interbank transactions totalled RM872 billion, surpassing the RM774 billion recorded in the conventional market. Islamic financial institutions lent and borrowed an average of RM5.13 billion daily among themselves, compared with RM4.55 billion in the conventional interbank market. These developments demonstrate the growing depth and maturity of Malaysia's Islamic money market.

Cagamas' issuance of Malaysia's first MYOR-i-referenced Sukuk marked an important milestone. But it should not be the first and only issuance. Greater participation from banks and other market participants is essential because the MYOR-i transition is a journey for the entire ecosystem. As outlined in the MYOR-i Transition Roadmap, we are now only two days away from the next key milestone on 1 October 2026. Market participants must be ready to offer, trade and support MYOR-i-linked products reduction of KLIBOR exposures. This would appropriately pave the way for July 2027, when Bank Negara Malaysia (BNM) plans to mandate the adoption of MYOR-i for all new Islamic products.

Malaysia's Role as an Islamic Finance Hub

Ladies and gentlemen,

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facilitates greater capital mobilisation and helps bridge investment gaps across regions. Beyond serving the Asia-GCC corridor, Malaysia is well positioned to attract a broader pool of international ESG and impact investors through a diverse range of Islamic and sustainable finance solutions.

At the same time, Islamic finance is uniquely positioned to support sustainable development objectives. The strong alignment between Shariah principles and sustainability aspirations provides a natural foundation for mobilising capital towards projects that generate both economic value and positive social outcomes.

Malaysia's position in Islamic finance has been built over decades through strong institutions, supportive regulation, talent development and continuous innovation. Collaboration among regulators, industry players, industry associations, market participants, universities and globally recognised centres of excellence, both domestically and internationally levels has been instrumental in driving the industry's growth. The foundations are firmly in place, and the ecosystem is well established.

At the heart of this ecosystem is a deep and liquid sovereign sukuk market. In Malaysia, outstanding Malaysian Government Investment Issues (MGII) have grown significantly from RM374.6 billion in 2020 to approximately RM644.3 billion as at June 2026. Over the same period, non-resident holdings of MGII increased from RM24.8 billion to RM42.7 billion, demonstrating international investor's increased demand for MYR sovereign sukuk.

Continued efforts to strengthen MGII as the benchmark yield curve will enhance market transparency, improve price discovery and deepen market liquidity. Malaysia can also strengthen its role in the global Islamic capital market. Greater foreign investor participation including through the inclusion of global indices and innovative Islamic investment products can help us get there. By expanding the international visibility of Malaysian sukuk and Islamic ETFs, attracting a wider pool of global investors and advancing sustainable and value-based finance solutions, Malaysia can further solidify its position as a globally connected, multicurrency Islamic capital market.

Ladies and gentlemen,

The continued success of Islamic finance will ultimately depend on our collective willingness

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boundaries, engage with a wider range of stakeholders, embrace new technologies and developments, develop solutions that address real economy, social and environmental needs. Growth alone is not enough. Our shared ambition must be to ensure that Islamic finance remains a force for positive impact, creating lasting value not only for investors, but also for businesses, communities and future generations.

As I conclude, let me once again express my sincere appreciation to the organisers for hosting this important forum and for bringing together such a distinguished gathering of industry leaders, practitioners, policymakers and investors.

I wish you a productive, insightful and fruitful conference.

▶ 3 Footnotes

The views expressed in this speech are those of the speaker and do not necessarily reflect those of the BIS.

Authors

Mohamad Ali Iqbal
Assistant Governor

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